

strong feelings of, yes, greed and fear. Money is a fraught topic. Whether you are investing your own savings, overseeing a large endowment, or managing a hedge fund, you must grapple with not only your own state of mind but also that of your family members, other community constituents (e.g., faculty, alumni, boards), and clients. In trying to help investors think intelligently about market movements, Graham and Dodd stressed that stocks are fractional ownership interests in companies and that the market is, in their oft-quoted phrase, a voting machine in the short term but a weighing machine in the long run. Owning private companies reinforces the idea that *all* equities are fractional interests in businesses, not just ticker symbols flashing on a screen.

One paradox of private investing is that there can be a silver lining in *not* being able to sell. Bad things frequently happen to businesses. Our initial investment in Prime Motor Group was made at the end of 2007. I half-jokingly tell people that it closed about five minutes before the recession began. The next year was brutal for the markets and the economy, and no industry was hit harder than the automotive sector. Auto dealers finance their inventory through a structure called floor-plan financing. As is their tendency, the banks freaked out when the markets swooned. One day in the middle of the crisis, our floor-plan lender called and asked for immediate repayment. Had we been forced to pay off the loan, the company would have suffered severe financial distress and might have sought bankruptcy protection. Fortunately, the bank had no right to call the loan, and by the time the debt matured, the crisis had passed, the company was performing well, and the lender was happy to keep extending credit.

We owned Prime Motor Group for more than a decade and made many times our money. If we had had the option to sell during the panic, we might have succumbed to fear and dumped the stock. Owning private companies means you must ride out the inevitable